

Where the loan book leaks

A third of applications are lost after we have already made the offer

Recommendation to the Head of Retail Lending

Process diagnostic based on 31,509 applications · Jan 2016 – Feb 2017

Fund a €80,000 pilot, decide the rest in twelve months

Reorder the post-offer follow-up queue by risk of the offer lapsing, and measure what happens. If conversion moves, fund the automated reminder channel. If it does not, we will have learned that for €95,000 instead of €245,000.

33.1%

of applications cancelled
after an offer was issued

9.2%

of those applicants ever
returned documentation

2.4%

recovery rate at which
the programme breaks even

The programme pays for itself if we recover 233 of the 9,629 applications we lose each year.

We measure everything up to the offer, and nothing after it

- Application volumes, approval rates and credit decisions are all measured.
- Once an offer leaves the building, nothing is measured at all.
- No view of how long an offer stays live, how many applicants respond, or how many lapse.
- Cancellation is recorded, but never with a reason.

Reconstructed from system event data, not from process documentation.

31,509

applications analysed

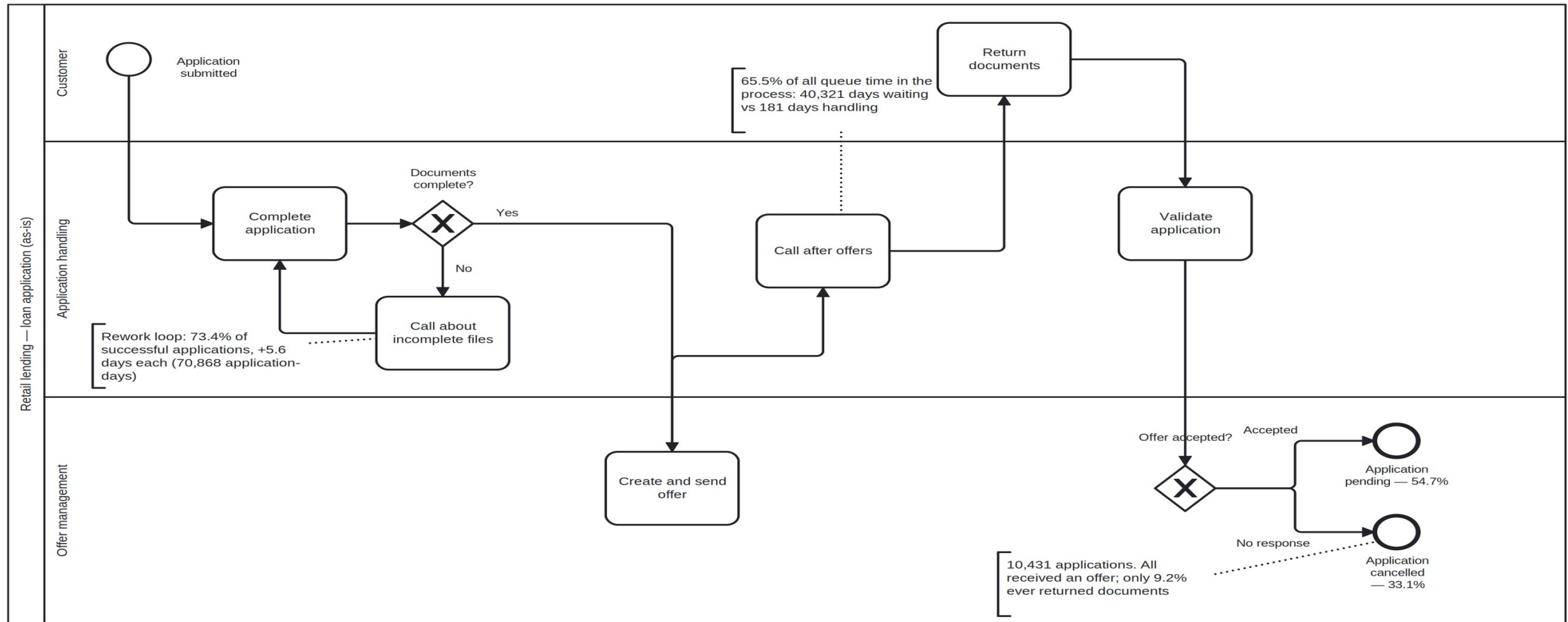
1,202,267 recorded events

24 distinct activities

149 staff

13 months of operation

Two points where the process loses value



15,930 distinct routes through the process. No single path accounts for more than 3.4% of applications.

The loss happens after we have done the expensive work

10,431

applications cancelled
after an offer was issued

100%

of them had received
a formal offer

31.6

days to cancellation —
twice a successful case

- Every cancelled application had been assessed, credit-decisioned and priced. The costly work was already done.
- Only 9.2% of them ever returned documentation — more than nine in ten simply went quiet after the offer.
- Closure itself is clean: in 93.3% of cases the offer and application are closed together, with no administrative delay.
- The loss sits in a defined window — between the offer being sent and the applicant responding or being written off.

The call that would save the offer is the one nobody gets to

40,321

days of queue time waiting for the post-offer follow-up call

65.5% of all waiting in the process

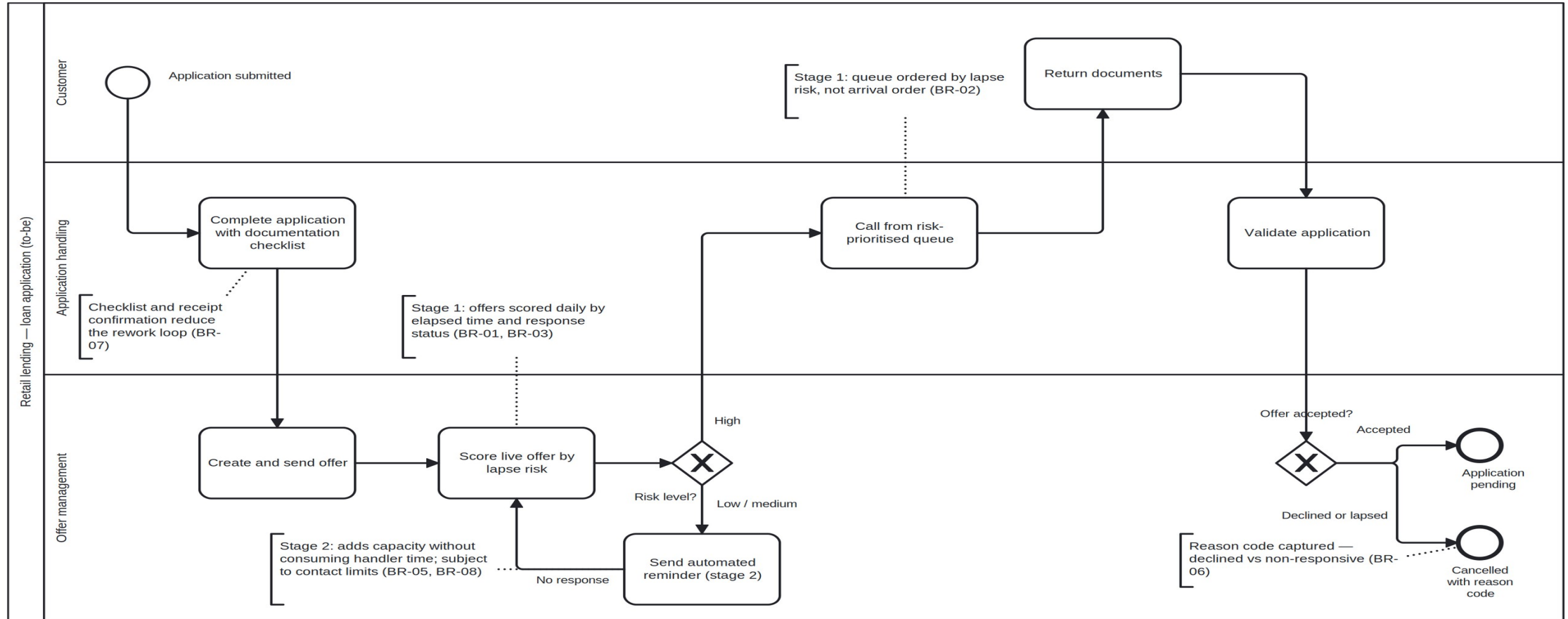
181

days actually spent making those calls

The work is fast. The waiting is not.

- Two thirds of all queue time in the process sits on one activity — the follow-up made after an offer has been sent.
- That activity sits precisely in the window where applications are being lost.
- These two facts coincide. The event log shows they occur together; it does not prove one causes the other.

Score every live offer, and give the queue somewhere to go



Stage 1: offers scored daily by lapse risk, and the queue worked by risk rather than arrival. Stage 2: an automated reminder that consumes no handler time.

Three routes, scored against weighted criteria

	A — Reprioritise	B — Reprioritise + remind	C — Replace system
Benefit realisation (30%)	3	4	5
Speed to value (20%)	5	4	1
Implementation effort (20%)	5	4	1
Operational disruption (15%)	4	4	1
Requirements coverage (10%)	3	5	5
Risk (5%)	5	4	2
Weighted total	4.05	4.10	2.55

A and B are separated by 0.05 — not a decisive margin, and it flips if implementation effort is weighted above benefit. We therefore recommend sequence, not a winner: A is contained within B, so deliver A first.

It pays back if we recover 233 applications a year

	Low 2% recovery	Base 5% recovery	High 10% recovery
Applications recovered per year	193	481	963
Gross margin over 3 years	€151,715	€505,717	€1,264,293
Cost over 3 years	€245,000	€245,000	€245,000
Net	-€93,285	€260,717	€1,019,293
Return on cost	0.6x	2.1x	5.2x

On pessimistic assumptions the full programme does not pay back. That is the argument for staging it: stage one exposes €125,000 rather than €245,000, and tells us which case is true.

Two stages, one decision gate

Months 1-3

Build stage one

Offer scoring, risk-prioritised queue, offer-stage reporting. €80,000.

Months 4-12

Operate and measure

Establish the baseline that does not exist today. Capture cancellation reasons.

Month 12

Decision gate

Was the recovery rate above 2.4%? Fund stage two, or stop.

Months 13-18

Stage two, if justified

Automated reminders within agreed contact limits. €60,000.

Four decisions before stage one can start

Contact limits

Risk & Compliance

How often and by which channel may we contact an applicant with a live offer?

Intervention threshold

Operations

At what age does a live offer become a priority call?

Recovery assumption

Finance

Sign-off on the 5% base case, or a figure you are willing to underwrite.

Data completeness

IT

Confirmation that offer and response timestamps are complete for live offers.

The recommendation

Fund stage one. Decide the rest with evidence.

€80,000 to build, €15,000 a year to run.

Twelve months of operation, then a gate review against a 2.4% break-even.

If it works, stage two is justified on the same arithmetic. If it does not, we will have spent €95,000 to avoid spending €245,000.